bestoasis

Recycling with the Best

Weekly Ship Recycling Report

07 December - 16 December 2024

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Highlights of the week

The ship recycling markets across all major destinations continue to face a challenging and subdued environment, each grappling with unique hurdles. India remains stagnant, with both vessel demand and supply notably absent, compounded by the lack of the usual year-end uptick in activity. Bangladesh mirrors this cautious sentiment, where despite a recent price correction, buyers remain unwilling to commit, reflecting a soft and hesitant local market. Pakistan is struggling the most, with consistently low demand, no sales, and external pressures further destabilizing an already weak market. Turkiye, while showing a slight improvement on the import side, still sees no meaningful change in local conditions. As the year draws to a close, the market across all regions paints a uniform picture of sluggishness, with the anticipated December revival failing to materialize. This prolonged lull underscores the industry's cautious mood, leaving stakeholders with little optimism for immediate recovery.

Fitch Ratings has provided a "neutral" outlook for the global steel sector in 2025. This reflects expectations of a modest recovery following a sluggish 2024. Key factors include a more balanced Chinese steel market, lower costs, and slight improvements in prices and profit margins. Steel consumption is projected to grow in the low single digits, driven by demand from India, stable consumption in China, and recovery in the US and EU markets.

Exchange Rates:

USD / INR ₹

This Week	: 84.88
Previous Week	: 84.68
Lost	: 0.20

USD / BDT ৳

This Week	: 119.37
Previous Week	: 119.54
Gained	: 0.17

USD / PKR Rs

This Week	: 277.73
Previous Week	: 278.01
Gained	: 0.28

USD / TRY ₺

This Week	: 34.95
Previous Week	: 34.79
Lost	: 0.16

India

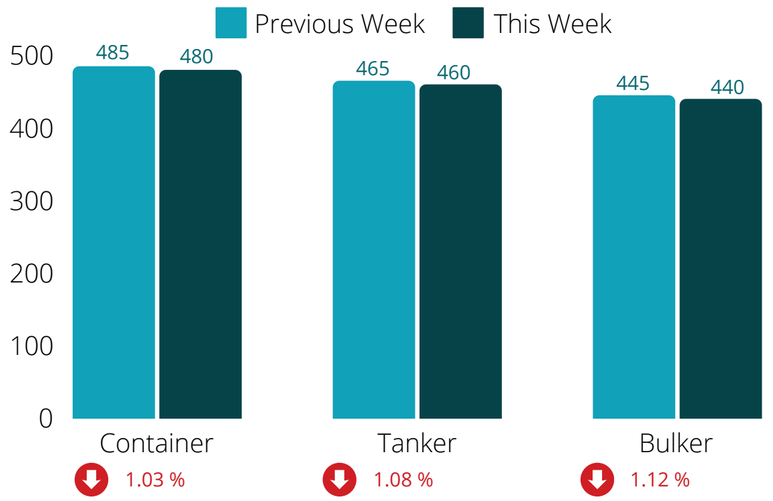
The market stabilizes with weak demand and supply amid an unusual year-end lull.

- The market remains unchanged and has even weakened compared to last week.
- Currently, there is no availability of tonnage, creating a unique situation where both vessel demand and supply are lacking. Traditionally, the market experiences heightened activity toward the end of the year.
- This year, however, even the usual year-end activity is absent, resulting in a prolonged lull throughout the market.
- India's steel ministry has defined "green steel" as steel with emissions below 2.2 tCO2e per tonne of finished steel (tfs), divided into three categories: five-star (below 1.6), four-star (1.6–2.0), and three-star (2.0–2.2). This initiative, part of the "Taxonomy of Green Steel" report, aims to promote green technology, with plans to reduce emissions to 2.2 tCO2e/tfs by 2030.

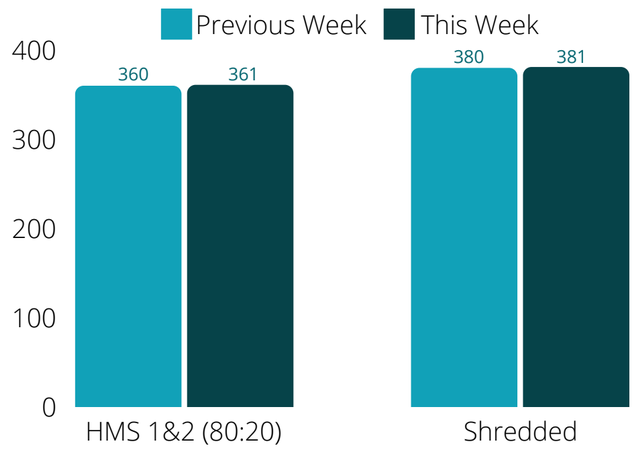
Beaching Dates

16 December to 20 December 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

The market slows further as buyers stay cautious amid weak December activity.

- The market remains slow this week, with no signs of improvement, and the local market also remains soft. Despite a price correction last week, the adjustment did not hold, as buyers (recyclers) aim to secure vessels at lower levels, reflecting their cautious approach.

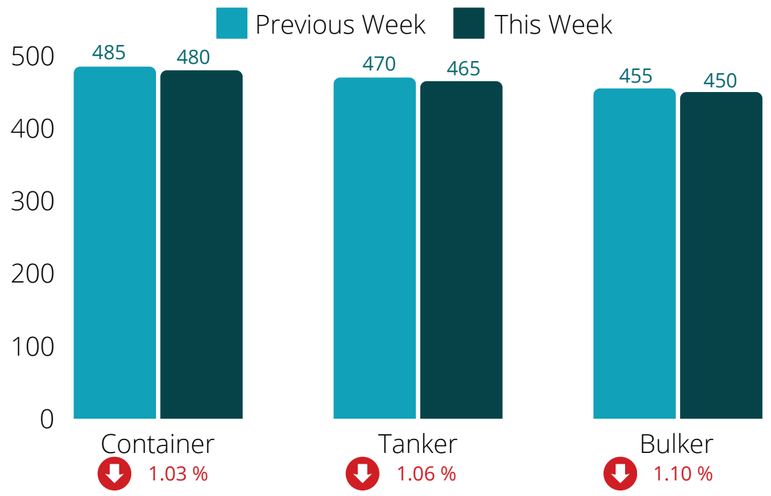
- There is no aggression in the market, and with December already halfway through, the anticipated heightened activity has not materialized. This indicates that the rest of the month is likely to remain sluggish and weak.

- Bangladesh's interim government announced that general elections might be held by late 2025 or early 2026, following increasing pressure for an election timeline after the removal of the previous leadership.

Beaching Dates

16 December to 17 December

Price for Recycling Ships in Bangladesh



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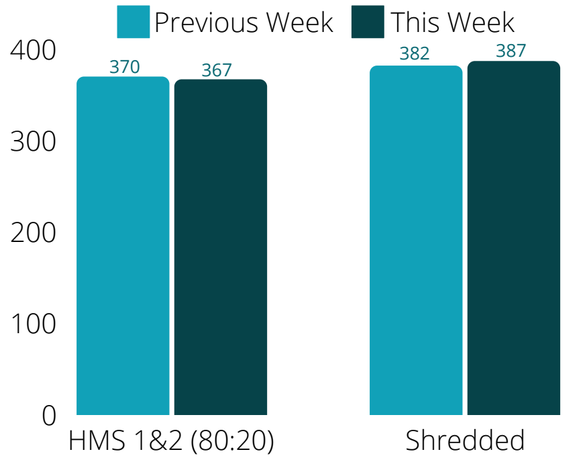


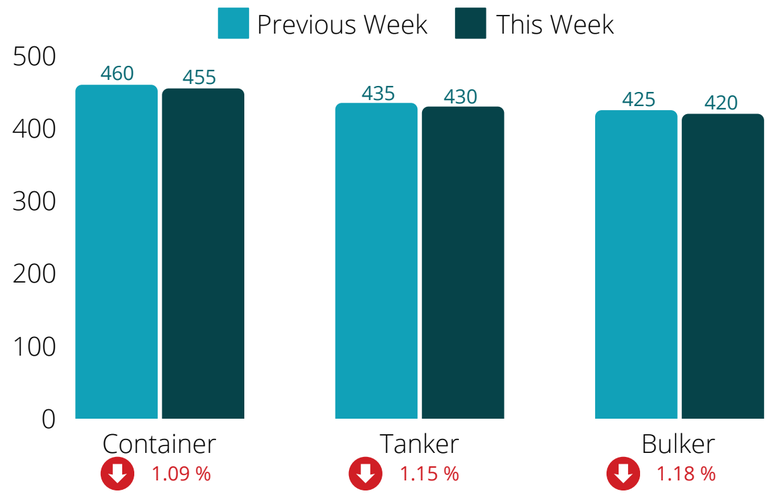
Pakistan

Market remains low with no improvement, pressured by external factors.

- The market remains consistently low, showing no signs of improvement or changes in dynamics, with no vessels being sold. In fact, the situation has worsened, as the market continues to be negatively impacted by the influx of smuggled goods from Iran, further undermining its stability.

- Pakistan's central bank cut its key policy rate by 200 basis points to 13% recently, its fifth reduction since June, as inflation eases and efforts to revive the economy continue. The cumulative 900 basis points cut in 2024 surpass the 625 basis points reduced during the 2020 pandemic.

Price for Recycling Ships in Pakistan



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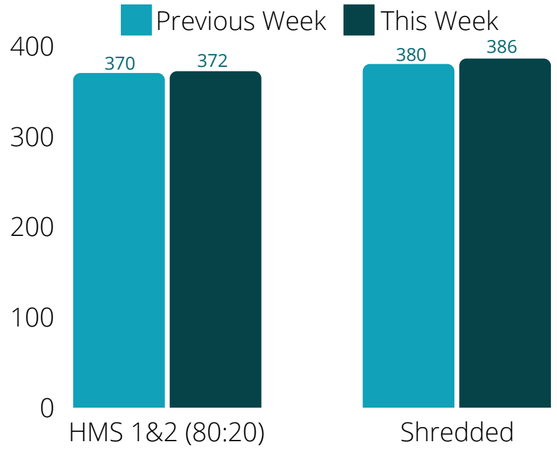


Beaching Dates

Throughout the month

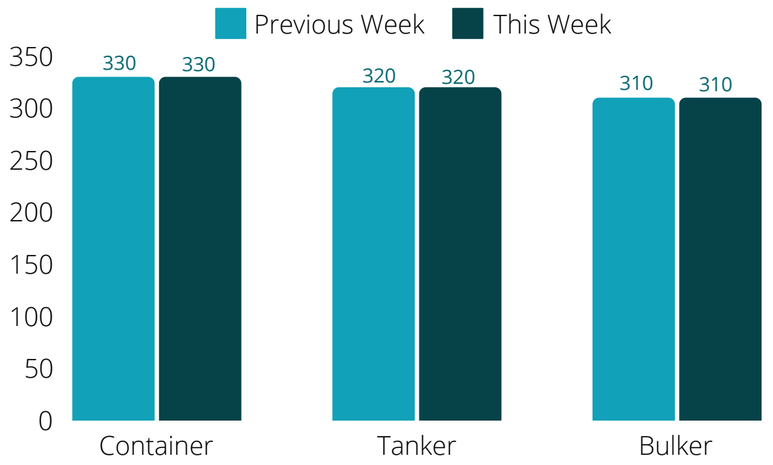
Türkiye

The market sees slight import improvement, local conditions unchanged.

- The market has seen a slight improvement on the import side, rising by about 10 USD, but there has been no change in the local market so far.

- Turkey's budget deficit narrowed to 484 million USD in November from 5.4 billion USD in October, with revenues at 27.3 billion USD and expenditures at 27.8 billion USD. From January to November, the deficit reached 39.9 billion USD, reflecting higher expenditures (276.2 billion USD) than revenues (239.9 billion USD). This indicates persistent fiscal challenges despite recent improvements.

Price for Recycling Ships in Türkiye



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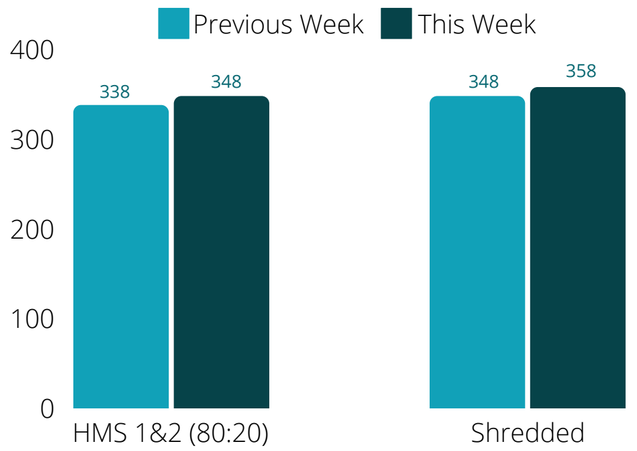
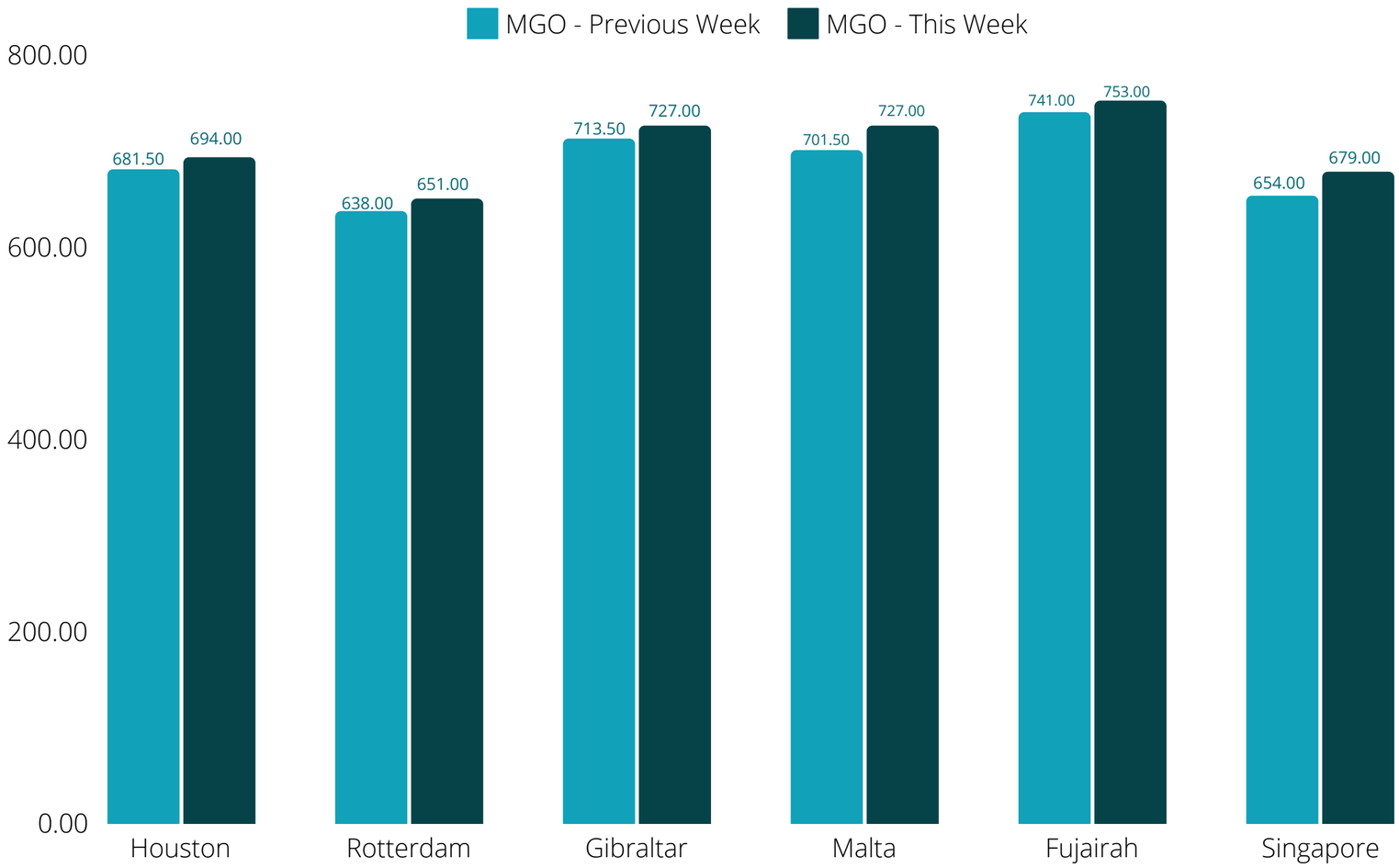


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 74.02
Previous Week	: 71.52
Movement	: + 2.5

WTI Crude

This Week	: 70.79
Previous Week	: 67.75
Movement	: + 3.04

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
MSC AUGUSTA	CONTAINER	8512891	1986	GERMANY	8,800.00	DELIVERED	ALANG, INDIA (YARDS A SPER MSC LIST)	UNDISCLOSED (BUNKERS ROB)
NEW SMILE	PRODUCT TANKER	9114842	1995	SINGAPORE	1,969.00	DELIVERED	CHITTAGONG,BANGLADESH	510
TRUE CONFIDENCE	BULKER	9460784	2011	JAPAN	8,900.00	AS-IS	SHARJAH, UAE	353 (BUNKERS ROB, VLSFO 652MT LSMGO 186 MT)
SHUN QI FU	BULKER	-	2006	CHINA	2,590.56	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
KELSEY 2	CHEMICAL TANKER	9254214	2002	JAPAN	3,229.68	DELIVERED	ALANG, INDIA	620 (HIGH QUANTITY OF STAINLESS STEEL)

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